power purchase agreements (PPAs). The CERC grants inter-state trading licences.

National Electricity Fund (Interest Subsidy Scheme) has been approved by to provide interest subsidy (Rs. 8,466 crore) on loan to the state power utilities, both in the public and private sectors, to improve the **distribution network**. The preconditions for eligibility to avail of interest subsidy are linked to the reforms in the power sector and the amount of interest subsidy is linked to the progress achieved in reforms.

AT&C Losses: Due to lack of adequate investment on 'transmission and distribution' (T&D) works, the T&D losses have been consistently on higher side, and reached to the level of 32.86% in the year 2000-01.The reduction of these losses was essential to bring economic viability to the State Utilities (the SEBs). As the T&D loss was not able to capture all the losses in the net work, concept of *Aggregate Technical and Commercial (AT&C)* loss was introduced. AT&C loss captures technical as well as commercial losses in the network and is a true indicator of total losses in the system.

High technical losses in the system are primarily ***due to*** inadequate investments over the years for system improvement works, which has resulted in unplanned extensions of the distribution lines, overloading of the system elements like transformers and conductors, and lack of adequate reactive power support.

The commercial losses are mainly due to:

(i) low metering efficiency
(ii) theft, and
(iii) pilferages

This may be eliminated by improving metering efficiency, proper energy accounting & auditing and improved billing & collection efficiency. Fixing of accountability of the personnel/feeder managers may help considerably in reduction of AT&C loss.

With the initiative of the Government of India and of the States, the ***Accelerated Power Development & Reform Programme*** (APDRP) was launched in 2001, for the strengthening of Sub Transmission and Distribution network and reduction in AT&C losses. The main objective of